

SOKOINTEL

A Philtechent Ltd publication

NSE Dividend Growth DCA and Watchlist Part One

A Sokointel research edition based on the Nairobi Securities Exchange dividend-growth DCA and watchlist project.

Research through 10 September 2026

sokointel.com

RESEARCH EDITION

Research questions

1. How can KES 100,000 be staged across a dividend-growth portfolio while reserving transaction costs?
2. Which inputs determine whole-share DCA quantities, dividend income and net yield?
3. How should a watchlist expand diversification without increasing bank concentration automatically?

Reading path

The main articles develop the argument and worked examples. Technical appendices follow the relevant article, with calculations, formula dictionaries and source references where supplied.

Core Portfolio and Three Month DCA.....	4
Appendix A Mathematical Formulae	18

Publication details and license

Title NSE Dividend Growth DCA and Watchlist Part One

Publication Sokointel

Publisher and rights holder Philtechent Ltd

Edition date 2026-09-10

Research cutoff 10 September 2026

Edition identifier sokointel-nse-dividend-growth-2026

Language English

Canonical publication <https://sokointel.com/series/nse-dividend-growth/part-one/>

Creative Commons license

© 2026 Philtechent Ltd. Except where separately credited, original content in this publication is licensed under CC BY-NC-SA 4.0.

Attribution NonCommercial ShareAlike 4.0 International

You may share and adapt the original material for noncommercial purposes, with attribution, a link to the license and an indication of changes. Distribute adaptations under the same license.

<https://creativecommons.org/licenses/by-nc-sa/4.0/>

Suggested attribution: Sokointel, NSE Dividend Growth DCA and Watchlist Part One, Philtechent Ltd, 2026-09-10. <https://sokointel.com/series/nse-dividend-growth/part-one/>

Third-party material retains the rights and license terms stated by its respective source. Source citations identify the supporting evidence and do not change those terms.

Core Portfolio and Three Month DCA

1. Introduction and Objective

A KES 100,000 investment in Nairobi Securities Exchange equities is large enough to build a deliberately diversified starter portfolio, but still small enough that excessive fragmentation, brokerage costs and poor entry discipline can materially damage returns. The objective of this report is therefore not to identify the single highest-yielding share. It is to construct a practical dividend-growth portfolio whose income stream is supported by credible businesses, whose sector exposures are understandable, and whose initial capital is deployed systematically over three months. The model retains the seven-counter core developed in the earlier analysis: Safaricom, Equity Group, Co-operative Bank, Standard Chartered Bank Kenya, BAT Kenya, East African Breweries and Nairobi Securities Exchange PLC, but strengthens the methodology, citation trail, cost treatment and risk controls.

The capital assumption is KES 100,000 in total, deployed across three monthly tranches. The three months are a deployment window, not a recommended holding period. Dividend investing is normally evaluated over years because the economic return comes from several channels: cash dividends, reinvestment of those dividends, growth in earnings and book value, and any eventual capital appreciation. A three-month horizon is too short to judge whether the underlying companies have created shareholder value. The purpose of staging the purchases is instead to reduce dependence on one entry date.

All share prices in the construction tables use the NSE market close of 9 September 2026 as a common reference snapshot. The market-data source shows Safaricom at KES 36.65, Equity at KES 101.50, Co-op at KES 37.85, Standard Chartered at KES 349.25, BAT at KES 559.00, EABL at KES 285.25 and NSE PLC at KES 28.20 [1]. These prices are not forecasts and should not be copied mechanically into October or November orders. They are a baseline for sizing and comparing current income yields.

2. Why Dollar-Cost Averaging Is Appropriate Here

Dollar-cost averaging (DCA) means investing a fixed or approximately fixed amount at predetermined intervals rather than attempting to predict the market's short-term high and low points. Standard Chartered's investor education material describes the mechanism directly: the same cash contribution buys more units when prices decline and fewer when prices rise, which can reduce timing risk and help remove emotional decision-making [4]. DCA does not guarantee a profit, and it cannot rescue a weak company. Its advantage in this project is behavioural and procedural: the investor decides the capital allocation before being exposed to daily price noise.

The strategy is particularly relevant after a strong market advance. Market-level data on 9 September 2026 indicated that the Kenyan market had risen materially over the preceding year, while several individual counters in both the core portfolio and watchlist were close to their recent highs [35]. Under those circumstances, investing the full KES 100,000 on a single day would create concentration in time as well as concentration by security. Splitting the commitment into approximately KES 33,333 of cash per month limits the damage if the first entry occurs immediately before a correction. The trade-off is that, if prices keep rising, later tranches buy fewer shares and the eventual average cost may be higher than a successful lump-sum purchase.

The DCA rule used here is therefore simple: preserve the strategic weights, but recalculate the number of whole shares from the live price on each purchase date. Do not preserve the September share counts. A falling Safaricom price should naturally produce a larger quantity from the same monthly allocation; a rising price should produce fewer shares. This makes cash discipline, not prediction, the central execution variable.

3. NSE Market Structure and Retail Execution

The feasibility of small monthly allocations improved materially after the NSE moved away from the historic 100-share board-lot convention. The Capital Markets Authority reported that single-share trading was introduced so that securities could trade in multiples of one, lowering the entry barrier for retail investors [3]. This matters for a KES 100,000 diversified portfolio because high-priced names such as BAT and Standard Chartered can now be accumulated without needing to purchase a block of 100 shares. The reform supports finer portfolio weighting and makes DCA more practical.

Liquidity still matters even when the minimum lot is one share. A small-lot rule solves the mechanical problem of minimum quantity; it does not solve the economic problem of a wide bid-ask spread or an illiquid order book. The 9 September price list illustrates the distinction. Safaricom traded about 2.00 million shares, Equity about 3.58 million and Co-op about 719,498, while some watchlist industrial and agricultural names traded only a few thousand shares [1]. A retail investor should therefore prefer limit orders in thin counters, avoid assuming that the last-traded price is available for a large order, and resist chasing a sudden price spike simply because a share can technically be purchased one unit at a time.

The project also treats trading costs as part of the investment decision rather than as an afterthought. Under the Capital Markets (Licensing Requirements)(General) Regulations, 2025, secondary equity transactions up to KES 100,000 have a maximum total investor cost of 2.10%, composed of brokerage and specified NSE, CMA and CDSC-related charges [2]. Actual broker pricing can be lower or structured differently, but the statutory maximum is a prudent budgeting assumption for a conservative model.

4. Dividend-Growth Screening Logic

The portfolio is designed around dividend growth rather than dividend yield in isolation. A very high yield can be healthy when it reflects a cash-generative mature business trading at a reasonable valuation, but it can also be a warning sign caused by a collapsing share price, an exceptional one-off distribution or a payout that exceeds sustainable earnings.

Consequently, each selected company is evaluated on three broad dimensions: the current cash yield, evidence that the underlying business can continue generating distributable cash, and the portfolio role the company plays relative to the other holdings.

Safaricom anchors the portfolio with telecommunications, data and mobile-money exposure. The company paid KES 0.85 interim and KES 1.15 final for FY2026, bringing the annual distribution to KES 2.00 per share and approximately KES 80.13 billion in aggregate [7]. At KES 36.65, the trailing annual cash yield is about 5.46%. The case for Safaricom is therefore not merely its current yield. It combines a recurring distribution with exposure to digital financial services and a business model different from banking, alcohol and tobacco.

Equity Group's FY2025 dividend rose to KES 5.75 per share from KES 4.25 for FY2024, with an aggregate payout of about KES 21.7 billion [8]. Co-operative Bank's FY2025 total dividend reached KES 2.50 per share after the bank introduced a KES 1.00 interim distribution and proposed/paid a KES 1.50 final dividend; its integrated report also recorded FY2025 profit after tax of KES 29.8 billion, up 16.9% [9]. These two banks therefore bring both earnings growth and distribution growth, although their combined presence with Standard Chartered makes sector concentration a central portfolio risk.

Standard Chartered Kenya is the income-oriented bank within the core. Its FY2025 distribution comprised an interim KES 8 and final KES 23, or KES 31 per share in total, according to its 2026 investor materials [10]. BAT Kenya's FY2025 report shows an interim KES 10 plus a proposed final KES 60, producing KES 70 per share in total [11]. Both produce high nominal cash yields at the September reference prices, but neither should be allowed to dominate merely because of the yield. Standard Chartered is sensitive to banking profitability, capital and credit conditions; BAT carries concentrated regulatory, excise, illicit-trade and long-term consumption risks.

EABL supplies consumer-sector diversification. Its FY2026 financial-results suite reported stronger profitability and a total dividend of KES 12.70 per share [12]. NSE PLC, meanwhile, gives direct exposure to market infrastructure, transaction activity and listings. Its FY2025 distribution of KES 1.00 included a KES 0.27 special component and a KES 0.73 ordinary component [13]. That distinction is important: the headline 3.55% yield on KES 1.00 is not a normalized recurring yield. Using only KES 0.73 would produce a yield of about 2.59% at KES 28.20.

5. Core Portfolio: Price, Dividend and Yield Snapshot

Counter	Price (KES)	Recent DPS (KES)	Indicative yield	Target weight	Role
Safaricom (SCOM)	36.65	2.00	5.46%	20%	Core growth + income; telecom/data/mobile money
Equity Group (EQTY)	101.50	5.75	5.67%	15%	Regional banking growth and rising payout
Co-operative Bank (COOP)	37.85	2.50	6.61%	15%	Income-oriented banking; broad domestic franchise
Standard Chartered Kenya (SCBK)	349.25	31.00	8.88%	15%	High-income banking and capital discipline
BAT Kenya (BAT)	559.00	70.00	12.52%	15%	High cash distribution; concentrated regulatory risk
EABL	285.25	12.70	4.45%	10%	Consumer diversification and regional brands
NSE PLC	28.20	1.00	3.55%	10%	Capital-market infrastructure and trading-volume exposure

6. Target Allocation of the KES 100,000

The target weights deliberately stop short of equal weighting. Safaricom receives 20% because it is the largest non-bank growth-and-income anchor. Equity, Co-op, Standard Chartered and BAT each receive 15%. EABL and NSE PLC receive 10% each. This creates a portfolio in which no single company exceeds one-fifth of the capital and in which the highest-yielding counter, BAT, is capped rather than allowed to dominate. The structure is intended to balance income generation with the risk that a specific dividend is reduced.

The main weakness is clear: the three banks represent 45% of target capital. That concentration is acceptable only if it is acknowledged and managed. It means future

additions should not automatically be directed to KCB, Stanbic, NCBA, I&M or Absa simply because those banks also offer attractive yields. Part 2 therefore treats most additional banks as replacements or comparative benchmarks rather than automatic additions. New capital beyond the first KES 100,000 should preferably broaden exposure to energy, insurance, industrials and selected agriculture before increasing the bank weight further.

Counter	Target weight	Target security capital (KES)	Strategic role
Safaricom (SCOM)	20%	19,589	Core growth + income; telecom/data/mobile money
Equity Group (EQTY)	15%	14,691	Regional banking growth and rising payout
Co-operative Bank (COOP)	15%	14,691	Income-oriented banking; broad domestic franchise
Standard Chartered Kenya (SCBK)	15%	14,691	High-income banking and capital discipline
BAT Kenya (BAT)	15%	14,691	High cash distribution; concentrated regulatory risk
EABL	10%	9,794	Consumer diversification and regional brands
NSE PLC	10%	9,794	Capital-market infrastructure and trading-volume exposure
Total	100%	97,943	Before actual whole-share rounding

7. Transaction-Cost Budget and Investable Capital

If the investor has exactly KES 100,000 available, it is incorrect to allocate KES 100,000 to shares and then ignore the cash required to settle transaction charges. Using the regulatory maximum of 2.10% for secondary equity transactions up to KES 100,000 [2], the conservative investable-security value is obtained by solving $X \times 1.021 = 100,000$. The result is approximately KES 97,943.19 available for the securities themselves, leaving about KES 2,056.81 as a maximum-cost provision. Spread equally across three months, the model has

approximately KES 32,647.73 of share-purchase capacity per month and KES 685.60 of fee capacity, producing the desired KES 33,333.33 monthly cash commitment.

This is a budgeting ceiling, not a prediction of the precise bill from a particular broker. The investor should use the actual contract-note charges and roll unused cash forward. An important discipline is to avoid forcing residual cash into a security just to achieve a cosmetically exact 100% investment rate. Whole-share rounding will always create small residuals. Those residuals can be carried to the next month and used where they best restore the target weights.

Budget: total cash KES 100,000; target securities KES 97,943.19; maximum fee provision KES 2,056.81; monthly target securities KES 32,647.73.

8. Three-Month DCA Execution Schedule

The first-month illustration uses 9 September prices and the post-fee target budgets. Approximately KES 6,530 of investable capital is assigned to Safaricom, KES 4,897 to each 15% position, and KES 3,265 to each 10% position. Whole-share rounding produces the quantities shown below. The resulting first-tranche security cost is about KES 32,020.60, leaving roughly KES 627 of the monthly investable amount uncommitted before actual fees. That residual should be carried forward rather than spent indiscriminately.

Months two and three should not copy the first-month quantities. Instead, before each monthly order, obtain the live prices, multiply the available security budget by the target weight, divide by the live price, and round down to a whole share. After the initial calculation, compare actual portfolio weights with targets. If a counter rose sharply during the prior month, it may already be overweight; directing the new contribution toward underweight names can rebalance the portfolio without selling. This creates a practical hybrid of DCA and contribution-based rebalancing.

Execution discipline also means avoiding the temptation to time purchases around dividend book-closure dates. A dividend is a transfer of value from the company to shareholders, not free wealth. Prices may adjust when a share trades ex-dividend, and a rushed purchase can expose the investor to a worse entry price. The purchase decision should be driven by the long-term investment case and the pre-set schedule; corporate-action dates are relevant for cash-flow planning, but they should not override valuation and diversification.

Counter	Monthly target (KES)	Ref. price	Illustrative shares	Approx. share cost
Safaricom (SCOM)	6,530	36.65	178	6,523.70

Counter	Monthly target (KES)	Ref. price	Illustrative shares	Approx. share cost
Equity Group (EQTY)	4,897	101.50	48	4,872.00
Co-operative Bank (COOP)	4,897	37.85	129	4,882.65
Standard Chartered Kenya (SCBK)	4,897	349.25	14	4,889.50
BAT Kenya (BAT)	4,897	559.00	8	4,472.00
EABL	3,265	285.25	11	3,137.75
NSE PLC	3,265	28.20	115	3,243.00
Total	32,648	-	-	32,020.60

9. Indicative Dividend Income and Tax

Using the most recent full-year or annual distributions in the core table, the portfolio has a weighted headline gross yield of approximately 6.94% at the 9 September prices. Applied to approximately KES 97,943 of securities, that corresponds to roughly KES 6,799 of annual gross dividend income if, an important assumption, the same distributions were repeated and the portfolio could be acquired at the reference prices. The number is a screening estimate, not a forecast. Some record dates have already passed, some distributions may change, and NSE PLC's KES 1.00 includes a special dividend.

For a resident individual, the Income Tax Act specifies a 5% resident withholding-tax rate on a qualifying dividend and states that this is final tax [5]. On the simplified assumption that the entire KES 6,799 is qualifying dividend income, the net amount would be approximately KES 6,459. The effective net cash yield on the original KES 100,000 wallet would therefore be about 6.46% before any capital gain or loss. Investors with different tax status should not assume the same treatment.

Kenya's tax treatment of listed-share gains is also relevant to total-return planning. KRA's current guidance identifies a gain on transfer of securities traded on a securities exchange licensed by the CMA among CGT exemptions/exclusions [6]. Tax law can change, so the correct practice is to recheck the prevailing law at the time of disposal rather than embedding today's treatment permanently into a long-horizon model.

Counter	Target capital	Indicative yield	Gross annual dividend
Safaricom (SCOM)	19,589	5.46%	1,069
Equity Group (EQTY)	14,691	5.67%	832
Co-operative Bank (COOP)	14,691	6.61%	970
Standard Chartered Kenya (SCBK)	14,691	8.88%	1,304
BAT Kenya (BAT)	14,691	12.52%	1,840
EABL	9,794	4.45%	436
NSE PLC	9,794	3.55%	347
Portfolio	97,943	6.94%	6,799

10. Stress Testing the Income Thesis

A dividend-growth strategy should be tested against reductions, not only repeated or increased payouts. If every dividend in the model fell by 20%, gross annual portfolio income would decline from about KES 6,799 to KES 5,439 and simplified net income after 5% withholding would fall to about KES 5,167. If dividends were unchanged, the simplified net figure is about KES 6,459. A 10% increase in aggregate distributions would raise gross income to roughly KES 7,479 and net income to approximately KES 7,105. These scenarios isolate the dividend stream; they do not include share-price movements.

That distinction is fundamental. A 6% cash yield does not protect the investor from a 20% mark-to-market fall, and a 4% yielding company can still produce superior total returns if earnings, dividends and valuation grow. The portfolio should therefore be monitored on total return and dividend sustainability rather than dividend income alone. Useful warning signals include falling earnings with a rising payout ratio, debt increasing faster than operating cash flow, repeated special dividends being treated as ordinary, deteriorating asset quality in banks, or a share price rising so quickly that the cash yield collapses despite unchanged dividends.

Scenario	Gross income	Net after 5% WHT	Net yield on KES100k
Dividends fall 20%	5,439	5,167	5.17%
Recent dividends repeated	6,799	6,459	6.46%
Dividends increase 10%	7,479	7,105	7.10%

11. Reinvestment, Rebalancing and Long-Term Compounding

The initial KES 100,000 is best understood as seed capital. If net dividends of roughly KES 6,000–7,000 were reinvested instead of consumed, they would buy additional shares that may themselves produce future income. Compounding becomes materially stronger when dividend reinvestment is combined with fresh monthly savings after the first three-month deployment. The investor then has three engines of portfolio growth: new contributions, reinvested cash distributions and underlying corporate growth.

Reinvestment should not be automatic into the company that paid the dividend. It can be used as a rebalancing tool. If the banking positions appreciate and rise from 45% to, for example, 55% of the portfolio, future dividends and new contributions can be directed toward energy, insurance or industrial watchlist names without selling existing bank shares. This reduces turnover and avoids unnecessary transaction costs. Conversely, if a core company's investment thesis deteriorates structurally, simply reinvesting because the price has fallen would convert DCA into averaging down without a fundamental basis.

A sensible review cadence is monthly for prices and execution, quarterly or half-yearly for company results, and annually for strategic portfolio weights. The investment thesis should be changed when fundamentals or the investor's objectives change, not because a share had one weak trading week.

12. Principal Risks and Part 1 Conclusion

The portfolio contains several material risks. The 45% bank weighting creates exposure to the same interest-rate, credit-quality and regulatory cycle across multiple issuers. BAT's high yield comes with tobacco regulation and excise risk. EABL is sensitive to consumer spending, taxation and input costs. Safaricom's valuation and growth depend increasingly on data, financial services and regional execution. NSE PLC is sensitive to market turnover, listings and investor participation. In addition, the whole portfolio is Kenya-centric and denominated in Kenyan shillings, so it does not diversify country or currency risk.

Within those limits, the construction is coherent for a KES 100,000 starter dividend-growth allocation. It reserves transaction costs, uses seven liquid or strategically differentiated companies, caps the largest position at 20%, and stages capital over three months. The reference portfolio's 6.94% headline gross yield is attractive but should never be interpreted as guaranteed. The real objective is a durable total-return process: own profitable businesses, distinguish recurring from special payouts, reinvest selectively, diversify future contributions away from the largest existing sector, and keep the execution rules simple enough to follow through both rallies and corrections.

Valuation discipline remains necessary even inside a DCA programme. A predetermined purchase date does not require purchasing a security whose investment thesis has materially changed or whose valuation has become detached from a reasonable earnings and dividend outlook. DCA is a method of staging capital, not a rule against judgment. Before each tranche, the investor should perform a short exception review: confirm that no profit warning, dividend cancellation, major regulatory event, governance problem or balance-sheet deterioration has invalidated the original thesis. If the thesis remains intact, the scheduled purchase proceeds. If a material event has changed the expected cash flows, the allocation can remain temporarily in cash while the company is reassessed. This distinction prevents systematic investing from becoming mechanical averaging into a deteriorating business.

Opportunity cost should also be recognized. Equity capital competes with Kenyan money-market funds, Treasury bills, bank deposits and the investor's own business opportunities. A dividend yield of 6% is not automatically attractive merely because it is positive; the relevant comparison is the expected total return after risk, tax, fees and the possibility of capital loss. Shares earn their place in the portfolio when the combination of sustainable dividend income and prospective earnings growth provides adequate compensation for volatility and uncertainty. For this reason, the model should not be read as an instruction to liquidate emergency savings or short-term operating cash. Capital needed within the next few months should remain in instruments whose liquidity and principal stability match that liability rather than being exposed to equity-market timing.

Finally, portfolio governance matters as much as initial selection. Maintain a simple investment journal showing each purchase date, live price, number of shares, transaction charges, target weight, actual weight and the reason the position still qualifies for ownership. Record ordinary and special dividends separately so that one-off distributions do not inflate the expected income rate. At each half-year or full-year results cycle, update earnings, dividend cover, leverage or bank asset-quality indicators, and any material strategic developments. These records create a feedback loop: future tranches and dividend reinvestment become evidence-based decisions rather than reactions to headlines. Over several years, that process is more valuable than attempting to forecast the exact market level three months ahead.

References

myStocks Mobile, “Market Pricelist: 09 Sep 2026,” Sep. 9, 2026. [Online]. Available: <https://live.mystocks.co.ke/m/pricelist>. [Accessed: Sep. 10, 2026].

Republic of Kenya, “The Capital Markets (Licensing Requirements)(General) Regulations, 2025,” Legal Notice 197 of 2025, Kenya Law, Dec. 11, 2025. [Online]. Available: <https://new.kenyalaw.org/akn/ke/act/ln/2025/197/eng@2025-12-11>. [Accessed: Sep. 10, 2026].

Capital Markets Authority, “Quarterly Capital Markets Statistical Bulletin, Q3 2025,” 2025. [Online]. Available: <https://www.cmarcp.or.ke/images/bulletin/Statistical%20Bulletin/2025/CMA-Quarterly-Statistical-Bulletin-Q3.-2025.pdf>. [Accessed: Sep. 10, 2026].

Standard Chartered Bank Kenya, “How to use Dollar Cost Averaging to build long term wealth,” Wealth Insights. [Online]. Available: <https://www.sc.com/ke/wealth-insights/dollar-cost-averaging/>. [Accessed: Sep. 10, 2026].

Republic of Kenya, “Income Tax Act,” Kenya Law, text as at Jul. 1, 2025. [Online]. Available: <https://new.kenyalaw.org/akn/ke/act/1973/16/eng@2025-07-01>. [Accessed: Sep. 10, 2026].

Kenya Revenue Authority, “About Capital Gain Tax,” [Online]. Available: <https://www.kra.go.ke/helping-tax-payers/faqs/capital-gain-taxes>. [Accessed: Sep. 10, 2026].

Safaricom PLC, “Safaricom PLC pays a record dividend at KES 80.13 billion for FY26,” 2026. [Online]. Available: <https://www.safaricom.co.ke/media-center-landing/press-releases/safaricom-plc-pays-a-record-dividend-at-kes-80-13-billion-for-fy26>. [Accessed: Sep. 10, 2026].

Equity Group Holdings PLC, “Equity Group shareholders approve KSh 21.7 billion dividend, insurance expansion, and key governance resolutions at 22nd AGM,” Jun. 24, 2026. [Online]. Available: <https://equitygroupholdings.com/nairobi-24th-june-2026-equity-group-holdings-plc-shareholders-have-approved-all-proposed-resolutions-tabled-at-the-22nd-annual-general-meeting-agm-including-dividend-payout-board-appointments-a/>. [Accessed: Sep. 10, 2026].

Co-operative Bank of Kenya Ltd., “Integrated Report 2025,” 2026. [Online]. Available: <https://www.co-opbank.co.ke/wp-content/uploads/2026/05/2025-Co-op-Bank-Integrated-Report-Web.pdf>. [Accessed: Sep. 10, 2026].

Standard Chartered Bank Kenya Ltd., “Investor Relations: 2026 Financial Results & Annual Reports,” 2026. [Online]. Available: <https://www.sc.com/ke/investor-relations/>. [Accessed: Sep. 10, 2026].

BAT Kenya PLC, “Combined Annual and Sustainability Report 2025,” 2026. [Online]. Available: https://www.batkenya.com/content/dam/endmarkets/ke/en/download/investors-and-reporting/annual-reports/BATK_Combined_Annual_and_Sustainability_Report_2025.pdf. [Accessed: Sep. 10, 2026].

East African Breweries PLC, “Financial Results: Full Year 2026,” 2026. [Online]. Available: <https://www.eabl.com/investors/financial-results>. [Accessed: Sep. 10, 2026].

Nairobi Securities Exchange PLC, “Integrated Annual Report & Financial Statements 2025,” 2026. [Online]. Available: https://assets.kenyanstocks.com/files/019e3f97-1629-7292-a473-52cafbe29252/NSE_2025_Integrated_Reports.pdf. [Accessed: Sep. 10, 2026].

KenGen PLC, “Financial Reports: 2026,” 2026. [Online]. Available: <https://www.kengen.co.ke/investor-relations/financial-information/>. [Accessed: Sep. 10, 2026].

Nairobi Securities Exchange PLC, “KenGen Plc: Audited Financial Results for the Year Ended 30 June 2026,” distributed via Public Technologies, Sep. 7, 2026. [Online]. Available: <https://www.marketscreener.com/news/nairobi-securities-exchange-kengen-plc-a-audited-financial-results-for-the-year-ended-30-june-20-ce785bdbd18af42c>. [Accessed: Sep. 10, 2026].

KCB Group PLC, “2025 Integrated Report & Financial Statements,” 2026. [Online]. Available: <https://kcbgroup.com/>. [Accessed: Sep. 10, 2026].

KCB Group PLC, “KCB Group Shareholders Approve KShs. 22.5 Billion Dividend Payout,” May 21, 2026. [Online]. Available: <https://kcbgroup.com/>. [Accessed: Sep. 10, 2026].

Stanbic Holdings PLC, “Summary of 2026 AGM Shareholders’ Questions & Responses,” May 14, 2026. [Online]. Available: https://www.stanbicbank.co.ke/static_file/Kenya/Downloadable%20files/Stanbic%20Holdings%20PLC/AGM/2026/Stanbic-Holdings-Plc-2026-AGM-Shareholders-Questions-and-Responses.pdf. [Accessed: Sep. 10, 2026].

NCBA Group PLC, “Annual 2025 Integrated Report,” 2026. [Online]. Available: <https://ncbagroup.com/wp-content/uploads/2026/06/NCBA-Group-Plc-Annual-2025-Integrated-Report.pdf>. [Accessed: Sep. 10, 2026].

NCBA Group PLC, “NCBA Group PLC reports KES 23.4 billion in net profit, Dividend Per Share Up 30% and Launches New 5-Year Strategy,” Apr. 9, 2026. [Online]. Available:

<https://ncbagroup.com/blog/newsroom-article/ncba-group-plc-reports-kes-23-4-billion-in-net-profit-dividend-per-share-up-30-and-launches-new-5-year-strategy/>. [Accessed: Sep. 10, 2026].

Jubilee Holdings Ltd., “Jubilee Holdings Declares A Record Dividend Following 18% Increase in Net Profit,” Apr. 9, 2026. [Online]. Available: <https://jubileeinsurance.com/group/newsroom/jubilee-holdings-declares-a-record-dividend-following-18-increase-in-net-profit/>. [Accessed: Sep. 10, 2026].

TotalEnergies Marketing Kenya PLC, “Financials,” 2026. [Online]. Available: <https://totalenergies.ke/about-us/shareholder-information/financials>. [Accessed: Sep. 10, 2026].

BOC Kenya PLC, “Investor Relations,” 2026. [Online]. Available: <https://www.boc.co.ke/our-business/investor-relations>. [Accessed: Sep. 10, 2026].

Morningstar, “BOC Kenya PLC Dividends,” 2026. [Online]. Available: <https://www.morningstar.com/stocks/xnai/boc/dividends>. [Accessed: Sep. 10, 2026].

The Kenya Power and Lighting Company PLC, “Annual Report and Financial Statements for the Year Ended 30 June 2025,” 2025. [Online]. Available: <https://kplc.co.ke/storage/01K9C11B50VR5T3KS48G2GYNQo.pdf>. [Accessed: Sep. 10, 2026].

Kakuzi PLC, “Kakuzi Returns to Profit with KShs 387.5 million After Tax Earnings, With Double Dividends for Shareholders,” Mar. 25, 2026. [Online]. Available: <https://www.kakuzi.co.ke/2026-kakuzi-returns-to-profit-with-kshs-387-5-million-after-tax-earnings-with-double-dividends-for-shareholders>. [Accessed: Sep. 10, 2026].

Williamson Tea Kenya PLC, “Investor Reports: 2026,” 2026. [Online]. Available: <https://www.williamsontea.com/investor-reports/>. [Accessed: Sep. 10, 2026].

G. Ngigi, “Kapchorua, Williamson tap retained earnings to pay out mega dividends,” Business Daily Africa, Jun. 28, 2026. [Online]. Available: <https://www.businessdailyafrica.com/bd/corporate/companies/kapchorua-williamson-tap-retained-earnings-to-pay-out-dividends-5512106>. [Accessed: Sep. 10, 2026].

I&M Group PLC, “Audited Financial Statements for the Year Ended 31 December 2025,” Mar. 24, 2026. [Online]. Available: <https://www.imbankgroup.com/wp-content/uploads/2026/03/im-bank-group-financials.pdf>. [Accessed: Sep. 10, 2026].

Absa Bank Kenya PLC, “Investor Relations: 2025 Annual Integrated Report,” 2026. [Online]. Available: <https://www.absabank.co.ke/investor-relations/>. [Accessed: Sep. 10, 2026].

G. Ngigi, “Absa lifts dividend 17pc on net profit growth to Sh22.9bn,” Business Daily Africa, Mar. 4, 2026. [Online]. Available:

<https://www.businessdailyafrica.com/bd/corporate/companies/absa-lifts-dividend-17pc-on-net-profit-growth-to-sh22-9bn-5379836>. [Accessed: Sep. 10, 2026].

StockAnalysis.com, “Car & General (Kenya) Dividend History, Dates & Yield,” 2026.

[Online]. Available: <https://stockanalysis.com/quote/nase/CGEN/dividend/>. [Accessed: Sep. 10, 2026].

Diamond Trust Bank Kenya Ltd., “DTB pre-tax profit jumps by 26%, increases dividend to KShs 9 per share,” Mar. 23, 2026. [Online]. Available:

<https://dtbk.dtbafrica.com/news/dtb-press-release-financials>. [Accessed: Sep. 10, 2026].

Carbacid Investments PLC, “2025 Annual Report,” 2025. [Online]. Available:

https://carbacid.com/documents/87/2025_Annual_Report.pdf. [Accessed: Sep. 10, 2026].

Simply Wall St, “Kenyan (NSE) Market Analysis & Valuation: Updated Sep. 9, 2026,” Sep. 9, 2026. [Online]. Available: <https://simplywall.st/markets/ke>. [Accessed: Sep. 10, 2026].

Appendix A Mathematical Formulae

This appendix documents the calculations used in the core portfolio and three-month DCA model. Symbols describe the calculation; the workbook carries the editable Excel expressions.

A.1 Investable securities value

Formula: $S = C / (1 + c)$

Mathematical equivalence: total cash C is divided by one plus the transaction-cost rate c. S is the cash available for securities after reserving costs.

Excel expression: =TotalCash/(1+TransactionCostRate)

A.2 Transaction-cost provision

Formula: $F = C - S$

Mathematical equivalence: the provision F is the difference between total cash C and investable securities value S.

Excel expression: =TotalCash-InvestableSecurities

A.3 Monthly securities budget

Formula: $M = S / n$

Mathematical equivalence: the securities budget M for each purchase month equals investable securities value S divided by the number of deployment months n.

Excel expression: =InvestableSecurities/DeploymentMonths

A.4 Security allocation

Formula: $A_i = S \times w_i$

Mathematical equivalence: allocation A for counter i equals investable securities value S multiplied by the target portfolio weight w for that counter.

Excel expression: =InvestableSecurities*TargetWeight

A.5 Whole-share quantity

Formula: $q_i = \text{floor}(M \times w_i / P_i)$

Mathematical equivalence: whole shares q for counter i are the integer part of the monthly allocation M times target weight w , divided by live share price P . The floor operation prevents an order from exceeding its allocation before charges.

Excel expression: =ROUNDDOWN(MonthlyTarget/ReferencePrice,0)

A.6 Indicative dividend yield

Formula: $y_i = D_i / P_i$

Mathematical equivalence: indicative yield y for counter i equals the stated dividend per share D divided by reference price P .

Excel expression: =DividendPerShare/ReferencePrice

A.7 Gross annual dividend income

Formula: $G_i = A_i \times y_i$

Mathematical equivalence: gross annual dividend income G for counter i equals capital allocated A multiplied by indicative yield y . Portfolio gross income is the sum of all counter-level gross income values.

Excel expression: =TargetCapital*IndicativeYield

A.8 Resident withholding tax and net income

Formula: $T = G \times t$; $N = G - T$

Mathematical equivalence: withholding tax T equals gross dividend income G multiplied by withholding-tax rate t . Net dividend income N equals gross income less tax.

Excel expression: =GrossIncome*WithholdingTaxRate and =GrossIncome-
WithholdingTax

A.9 Dividend scenario testing

Formula: $G_s = G \times (1 + s)$; $N_s = G_s \times (1 - t)$

Mathematical equivalence: scenario gross income G_s applies a dividend-change assumption s to base gross income G . Scenario net income N_s applies the withholding-tax rate t after the change.

Excel expression: $=\text{BaseGrossIncome}(1+\text{ScenarioChange})$ and
 $=\text{ScenarioGrossIncome}(1-\text{WithholdingTaxRate})$

A.10 Net yield on total cash

Formula: $y_{\text{net}} = N / C$

Mathematical equivalence: net cash yield equals net annual dividend income N divided by the original total cash C , including the cost provision.

Excel expression: $=\text{NetDividendIncome}/\text{TotalCash}$